

Interest Transcript

As a real estate professional, you'll be working with many individuals, couples, and families looking to buy their dream homes. Some may have money saved to do this, but many won't. Most will need to work with lenders to help finance their purchase.

Principal and Interest

If the buyer and the property both qualify, the lender will provide the funds to purchase the home. In return, the buyer will make payments back to the lender. These payments will consist of principal, or the loan balance, and interest, which is essentially the fee the lender is assessing for letting others borrow their money. (Taxes and insurance will also likely be part of the payment, but we'll leave that off for now.)

Calculating Interest

Calculating the Interest Amount

Let's look at a simple interest calculation. You can estimate how much a borrower is paying in interest by taking the loan balance and multiplying it by the interest rate. This gives you the amount paid annually in interest.

$$\text{Loan balance} \times \text{interest rate} = \text{annual interest amount}$$

Example

A \$70,000 loan has an interest rate of 6.5%. Remember, 6.5% is the same as .065. Multiply these numbers together (\$70,000 and .065) and you get an annual interest amount of \$4,550. To see what that would be on a monthly basis, just divide the annual amount by 12 and that will give you the monthly interest amount: $\$4,550 \div 12 = \379.17 .

Calculating the Interest Rate

Remember, interest is only part of the total monthly payment. Principal is another part of it. And, as we said, taxes and interest may be parts of the payment as well. You can flip this formula to calculate the interest rate if needed. To do that you're going to take the annual interest amount paid and divide it by the loan balance.

$$\text{Annual interest amount} \div \text{loan balance} = \text{interest rate}$$

Example

If you have sellers who paid \$7,000 in interest and have a balance of \$140,000 ($\$7,000 \div \$140,000$), they're paying an interest rate of .05, or 5%.

You'll find these formulas and others in your Real Estate Math Cheat Sheet.